Executive Summary: Customer Base Audit

This analysis evaluates the company's customer base by examining acquisition, retention, and profitability patterns to determine the overall health of the business and identify potential strategic risks. For the purposes of this audit, a customer is defined as an individual who made at least one purchase in 2021. Based on the sample of 31,797 customers (10% of the transactional database), the estimated total customer base is approximately 320,000 customers. While a one-year window is a common benchmark for defining active customers in retail, its appropriateness depends on the frequency of purchases within the industry.

Customer segmentation reveals significant heterogeneity in purchasing behavior and profitability. The top 10% of customers account for approximately 29% of transactions and generate 40% of total profits, while the bottom 50% contribute only about 15% of profits. This concentration suggests a modified Pareto pattern, where roughly 78% of profits come from the top 40% of customers. Although such concentration is common, it also introduces strategic risk, as the company becomes highly dependent on a relatively small group of high-value customers.

Transaction behavior also varies significantly across customer segments. Customers in the bottom half of the distribution typically make only one purchase and tend to buy lower-priced items with smaller margins. In contrast, customers in the top segments purchase more frequently and contribute higher overall spending. The most profitable decile is distinguished primarily by higher transaction frequency rather than significantly higher margins.

Cohort analysis shows that customer activity often declines after the initial purchase period, indicating latent attrition. Seasonal patterns are also evident, with spending increasing during the holiday season. Additionally, overall spending stability appears to be driven more by increasing order frequency than by higher order values.

Despite some concerns regarding retention and profit concentration, the company's overall performance remains positive. Profit growth has averaged approximately 11% annually, suggesting that the firm's target of $32 million in profits is achievable if current acquisition and retention trends continue.

Overall, the findings highlight the importance of managing customer heterogeneity, improving retention strategies, and reducing reliance on a small segment of high-value customers to ensure sustainable long-term growth.